

Table 1: Parameter Estimates

| Parameter                  | Type | Prior  |       | Posterior |                  |                  |
|----------------------------|------|--------|-------|-----------|------------------|------------------|
|                            |      | Mean   | SD    | Mean      | 90.0% Lower Band | 90.0% Upper Band |
| <i>Steady State</i>        |      |        |       |           |                  |                  |
| $100\gamma$                | -    | 0.340  | 0.000 | 0.372     | 0.365            | 0.381            |
| $\alpha$                   | N    | 0.300  | 0.030 | 0.103     | 0.102            | 0.103            |
| $100(\beta^{-1} - 1)$      | G    | 0.250  | 0.100 | 0.236     | 0.231            | 0.242            |
| $\sigma_c$                 | N    | 1.500  | 0.370 | 0.716     | 0.715            | 0.716            |
| $h$                        | B    | 0.700  | 0.050 | 0.586     | 0.585            | 0.587            |
| $\nu_l$                    | N    | 2.000  | 0.500 | 1.966     | 1.950            | 1.978            |
| $\delta$                   | -    | 0.025  | 0.000 | 0.025     | 0.025            | 0.025            |
| $\Phi_p$                   | -    | 1.000  | 0.000 | 1.000     | 1.000            | 1.000            |
| $S''$                      | N    | 4.000  | 0.500 | 5.146     | 5.133            | 5.155            |
| $\psi$                     | B    | 0.800  | 0.100 | 0.936     | 0.933            | 0.939            |
| $\delta_{gdpdef}$          | N    | 0.000  | 2.000 | 0.099     | 0.099            | 0.099            |
| $\bar{L}$                  | N    | 0.000  | 2.000 | -5.196    | -7.392           | -3.704           |
| $\lambda_w$                | -    | 1.500  | 0.000 | 1.500     | 1.500            | 1.500            |
| $\pi_*$                    | -    | 0.475  | 0.000 | 0.475     | 0.475            | 0.475            |
| $g_*$                      | -    | 0.215  | 0.000 | 0.215     | 0.215            | 0.215            |
| <i>Nominal Rigidities</i>  |      |        |       |           |                  |                  |
| $\zeta_p$                  | B    | 0.750  | 0.050 | 0.986     | 0.986            | 0.986            |
| $\zeta_w$                  | B    | 0.750  | 0.050 | 0.755     | 0.753            | 0.757            |
| $\iota_p$                  | B    | 0.500  | 0.150 | 0.397     | 0.382            | 0.410            |
| $\iota_w$                  | B    | 0.600  | 0.150 | 0.375     | 0.358            | 0.392            |
| $\epsilon_p$               | -    | 10.000 | 0.000 | 10.000    | 10.000           | 10.000           |
| $\epsilon_w$               | -    | 10.000 | 0.000 | 10.000    | 10.000           | 10.000           |
| <i>Policy</i>              |      |        |       |           |                  |                  |
| $\psi_1$                   | N    | 1.700  | 0.100 | 1.798     | 1.785            | 1.808            |
| $\psi_2$                   | N    | 0.125  | 0.050 | 0.269     | 0.261            | 0.277            |
| $\psi_3$                   | N    | 0.063  | 0.050 | 0.115     | 0.112            | 0.120            |
| $\rho_R$                   | B    | 0.750  | 0.050 | 0.780     | 0.779            | 0.782            |
| $\rho_{r^m}$               | B    | 0.100  | 0.100 | 0.376     | 0.372            | 0.379            |
| <i>Financial Frictions</i> |      |        |       |           |                  |                  |
| $F(\bar{\omega})$          | -    | 0.030  | 0.000 | 0.030     | 0.030            | 0.030            |
| $SP_*$                     | G    | 1.000  | 0.100 | 1.562     | 1.554            | 1.572            |
| $\zeta_{sp,b}$             | B    | 0.050  | 0.005 | 0.029     | 0.029            | 0.029            |
| $\gamma_*$                 | -    | 0.990  | 0.000 | 0.990     | 0.990            | 0.990            |
| $\ln(b_{safe})$            | -    | 0.065  | 0.000 | 0.065     | 0.065            | 0.065            |
| $\ln(b_{liq})$             | -    | 0.118  | 0.000 | 0.118     | 0.118            | 0.118            |
| $\lambda_{AAA}$            | -    | 0.000  | 0.000 | -0.000    | -0.000           | -0.000           |
| <i>Exogenous Processes</i> |      |        |       |           |                  |                  |

Note: For Inverse Gamma (IG) prior mean and SD,  $\tau$  and  $\nu$  reported.

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|                          |      | Mean  | SD    | Mean      | 90.0% Lower Band | 90.0% Upper Band |
| $\rho_g$                 | B    | 0.500 | 0.200 | 0.800     | 0.799            | 0.801            |
| $\rho_\mu$               | B    | 0.500 | 0.200 | 1.000     | 0.999            | 1.000            |
| $\rho_{z^p}$             | B    | 0.500 | 0.200 | 0.569     | 0.549            | 0.593            |
| $\rho_z$                 | B    | 0.500 | 0.200 | 0.175     | 0.125            | 0.209            |
| $\rho_{b,liq}^p$         | B    | 0.950 | 0.030 | 0.989     | 0.989            | 0.989            |
| $\rho_{b,liq}^{til}$     | B    | 0.250 | 0.120 | 0.784     | 0.781            | 0.786            |
| $\rho_{b,safe}^{til}$    | B    | 0.950 | 0.030 | 0.989     | 0.989            | 0.989            |
| $\rho_{b,safe}^{til}$    | B    | 0.250 | 0.120 | 0.829     | 0.823            | 0.834            |
| $\rho_{\sigma_\omega}$   | B    | 0.750 | 0.150 | 0.999     | 0.998            | 1.000            |
| $\rho_{\pi_*}$           | -    | 0.990 | 0.000 | 0.990     | 0.990            | 0.990            |
| $\rho_{\lambda_f}$       | B    | 0.500 | 0.200 | 0.813     | 0.812            | 0.813            |
| $\rho_{\lambda_w}$       | B    | 0.500 | 0.200 | 0.901     | 0.900            | 0.901            |
| $\eta_{\lambda_f}$       | B    | 0.500 | 0.200 | 0.714     | 0.714            | 0.714            |
| $\eta_{\lambda_w}$       | B    | 0.500 | 0.200 | 0.997     | 0.997            | 0.997            |
| $\eta_{gz}$              | B    | 0.500 | 0.200 | 0.006     | 0.006            | 0.006            |
| $\sigma_g$               | IG   | 0.100 | 2.000 | 1.727     | 1.700            | 1.750            |
| $\sigma_\mu$             | IG   | 0.100 | 2.000 | 2.811     | 2.774            | 2.851            |
| $\sigma_{z^p}$           | IG   | 0.100 | 2.000 | 0.387     | 0.381            | 0.393            |
| $\sigma_z$               | IG   | 0.100 | 2.000 | 0.153     | 0.150            | 0.156            |
| $\sigma_{b^p,liq}$       | IG   | 0.030 | 6.000 | 0.025     | 0.025            | 0.025            |
| $\sigma_{b,liq}$         | IG   | 0.100 | 2.000 | 0.067     | 0.066            | 0.069            |
| $\sigma_{b^p,safe}$      | IG   | 0.030 | 6.000 | 0.020     | 0.020            | 0.020            |
| $\sigma_{b,safe}$        | IG   | 0.100 | 2.000 | 0.129     | 0.129            | 0.129            |
| $\sigma_{\sigma_\omega}$ | IG   | 0.050 | 4.000 | 0.217     | 0.215            | 0.218            |
| $\sigma_{\pi_*}$         | IG   | 0.030 | 6.000 | 0.044     | 0.044            | 0.044            |
| $\sigma_{\lambda_f}$     | IG   | 0.100 | 2.000 | 0.050     | 0.050            | 0.051            |
| $\sigma_{\lambda_w}$     | IG   | 0.100 | 2.000 | 0.220     | 0.219            | 0.221            |
| $\sigma_{r^m}$           | IG   | 0.100 | 2.000 | 0.127     | 0.123            | 0.134            |
| $\sigma_{1,r}$           | IG   | 0.200 | 4.000 | 0.120     | 0.120            | 0.120            |
| $\sigma_{2,r}$           | IG   | 0.200 | 4.000 | 0.115     | 0.115            | 0.115            |
| $\sigma_{3,r}$           | IG   | 0.200 | 4.000 | 0.115     | 0.115            | 0.115            |
| $\sigma_{4,r}$           | IG   | 0.200 | 4.000 | 0.117     | 0.117            | 0.117            |
| $\sigma_{5,r}$           | IG   | 0.200 | 4.000 | 0.116     | 0.116            | 0.116            |
| $\sigma_{6,r}$           | IG   | 0.200 | 4.000 | 0.118     | 0.118            | 0.118            |
| <i>Measurement</i>       |      |       |       |           |                  |                  |
| $\delta_{gdpdef}$        | N    | 0.000 | 2.000 | 0.099     | 0.099            | 0.099            |
| $\gamma_{gdpdef}$        | N    | 1.000 | 2.000 | 2.597     | 2.597            | 2.597            |
| $\rho_{gdp}$             | N    | 0.000 | 0.200 | 0.103     | 0.094            | 0.113            |
| $\rho_{gdi}$             | N    | 0.000 | 0.200 | 0.424     | 0.410            | 0.447            |
| $\varrho_{gdp}$          | N    | 0.000 | 0.400 | 0.917     | 0.865            | 0.955            |
| $\rho_{gdpdef}$          | B    | 0.500 | 0.200 | 0.136     | 0.131            | 0.142            |

Note: For Inverse Gamma (IG) prior mean and SD,  $\tau$  and  $\nu$  reported.

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|-------------------|------|-------|-------|-------|------------------|------------------|--|
|                   |      | Mean  | SD    |       | 90.0% Lower Band | 90.0% Upper Band |  |
| $\rho_{pce}$      | B    | 0.500 | 0.200 | 0.775 | 0.773            | 0.777            |  |
| $\rho_{AAA}$      | -    | 0.000 | 0.000 | 0.000 | 0.000            | 0.000            |  |
| $\rho_{BBB}$      | -    | 0.000 | 0.000 | 0.000 | 0.000            | 0.000            |  |
| $\rho_{10y}$      | B    | 0.500 | 0.200 | 0.957 | 0.956            | 0.958            |  |
| $\rho_{tfp}$      | B    | 0.500 | 0.200 | 0.061 | 0.052            | 0.073            |  |
| $\sigma_{gdp}$    | IG   | 0.100 | 2.000 | 0.121 | 0.121            | 0.121            |  |
| $\sigma_{gdi}$    | IG   | 0.100 | 2.000 | 0.520 | 0.520            | 0.520            |  |
| $\sigma_{gdpdef}$ | IG   | 0.100 | 2.000 | 0.222 | 0.222            | 0.222            |  |
| $\sigma_{pce}$    | IG   | 0.100 | 2.000 | 0.135 | 0.135            | 0.135            |  |
| $\sigma_{AAA}$    | IG   | 0.100 | 2.000 | 0.035 | 0.035            | 0.035            |  |
| $\sigma_{BBB}$    | -    | 0.000 | 0.000 | 0.000 | 0.000            | 0.000            |  |
| $\sigma_{10y}$    | IG   | 0.750 | 2.000 | 0.112 | 0.112            | 0.112            |  |
| $\sigma_{tfp}$    | IG   | 0.100 | 2.000 | 1.852 | 1.849            | 1.854            |  |

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